These multipronged strategic initiatives are designed to fortify mature businesses that are leaders in their segments and also lend strong wings to newer businesses as they move towards achieving the pole position in their respective categories.

FAST MOVING CONSUMER GOODS

FMCG represents an area of immense potential, given the expected growth in per capita income, increasing consumer preference for trusted brands and value-added products, as well as accelerating digitalisation. In this context, Indian brands that are globally competitive can foster substantial value retention in the domestic economy by creating robust supply chains within the country. This opportunity to contribute meaningfully to a 'Viksit Bharat' inspires your Company to build its FMCG Businesses at scale powered by world-class brands that cater to evolving consumer aspirations.

The ITC Next strategy for your Company's FMCG Businesses has redefined the critical pathways to growth and profitability by building a future-ready portfolio focused on fortifying and scaling mega brands, leveraging these brands to address value-added adjacencies and crafting categories of the future. Innovation, brand investments, reach and digitalisation are driving premiumisation as well as penetration-led growth. In a relatively short span of time, your Company has built a portfolio of 25-plus vibrant brands in the FMCG Businesses that represent an annual consumer spend of Rs 29,000 crore. It is a source of immense satisfaction that 2 of our flagship brands are already in the league of over Rs 5,000 crore, whilst 5 more brands have touched spends between Rs 1,000 crore and Rs 4,000 crore. More importantly, these brands anchor competitive domestic value chains that foster large-scale livelihoods as well as local entrepreneurship.

> **"The ITC Next strategy for your Company's FMCG Businesses has redefined the critical pathways to growth and profitability by building a future-ready portfolio focused on fortifying and scaling mega brands, leveraging these brands to address value-added adjacencies and crafting categories of the future."**

Over the past 3 years, nearly 300 new products were launched, including several premium products, leveraging the innovation capacity of ITC's Life Sciences & Technology Centre.

In line with the strong need for healthy 'good-for-you' products, your Company launched the 'Help India Eat Better' initiative that focuses on affordable, accessible and planet-friendly nutrition. Furthering this initiative, your Company recently launched the 'ITC Mission Millets' programme. This Mission is founded on a 3-pillar model that encompasses development of a 'good-for-you' portfolio, implementation of sustainable farming and enhancing consumer awareness. Together with supporting FPOs in the millet value chain, two PPP projects have been implemented in Maharashtra and Andhra Pradesh, in partnership with Indian Institute of Millets Research. An extensive portfolio is being rolled out for every meal occasion, age and format. In this context, your Company also invested in Yoga Bar that has a portfolio of premium products, including millet-based offerings, catering to health-conscious consumers.

Your Company believes that brands must serve a larger societal purpose and leverage the substantial market interventions to positively influence social change. Several of your Company's brands lead purposeful initiatives in areas that can make a meaningful difference. The 'Mangaldeep' brand has empanelled visually impaired persons as fragrance testers, fostering a life of dignity and hope. 'Fiama' espouses the cause of addressing mental health issues. 'Vivel' champions women's empowerment. The 'Savlon Swasth India' programme which orchestrates hygiene behaviour, has covered over 8,000 schools reaching out to over 2 million students. 'Classmate All Rounder' programme aims at holistic skill development, covering over 3,00,000 school students. 'YiPPee!'s Terra programme upcycles post-consumer plastic wrapper waste into attractive laptop sleeves, tote bags and so on.

ITC's vision to be a FutureTech company is powered by 'Mission DigiArc' a next-generation smart digital architecture. The DigiArc ecosystem today encompasses 200 factories, 50 warehouses, nearly 3,000 distributors and 2.6 million retailers driving real-time, data-led intelligence across the extended enterprise. Embedded with cutting-edge technologies in AI/ML together with Centres of Excellence in Industry 4.0, Advanced Analytics and Data Sciences as well as the 6th Sense Marketing Command Centre, DigiArc empowers mainstreaming of the digital-first culture to create new sources of competitive advantage. Over 25 projects contributed to transforming all facets of our operations, ranging from insighting to product development, smart sourcing to on-time efficient delivery in markets and superior brand engagement and marketing through real-time content, connect and commerce.

Your Company's Trade Marketing & Distribution highway has transformed into a smart omni-channel network including 6 D2C platforms. This network leverages proprietary algorithms for sharp targeting markets, geo whitespacing, and enhancing responsiveness and efficiencies. Today, nearly 6,00,000 retailers are digitally connected through UNNATI B2B app. Effectiveness of sales execution improved by 17% in one year; sales through digital channels increased by 7x over FY20 levels; coverage increased by 2x and rural stockists tripled in the last three years.

I had earlier highlighted the investments in Integrated Consumer Goods Manufacturing and Logistics Facilities (ICML) at strategic locations towards deriving economies of scale and scope, creating agility in market responsiveness and optimising logistics with delayering of operations. These ICMLs now span a built-up area of more than 6 million sq.ft., and together with other facilities, ship out more than 56 million packs of your Company's products every day. With a view to optimising cost and quality, your Company's agri value chains are being integrated, enabling proximal sourcing in the vicinity of the ICMLs.

Your Company continues to strengthen its Cigarettes segment through fortifying product portfolio, innovation, sharpening execution capabilities and upgrading product quality to reinforce market standing in the face of severe threats from illicit cigarette trade. It is pertinent to note that legal cigarettes constitute merely 8% of the aggregate tobacco consumption in the country. Deterrent action from